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U.S. Multi Industry & Electrical Equipment

Honeywell International Inc

Rating

Market-Perform

Price Target



264.00 USD (243.00 OLD)

HON 2Q26 Post Earnings: The "show me" story is looking increasingly credible; raising TP to 264.

Recap of results: Top line organic growth was up 4% vs. expectations to be flat, and adjusted operating margin was largely in line with expectations at 19%. EPS of \$1.95 is ~7% ahead of consensus. Organic growth for all three segments came in better than expected (BA 9% vs. 6.5% consensus, PAT at -1% vs. -7.5% consensus, IA at 4% vs. 0.5% consensus). Segment operating margins also came in better than expected (~20 - 30 bps depending on the business unit). Guidance was marginally raised as well for the full year; organic growth is up to 3 - 4% (vs. 2 - 3% earlier), segment margins are up to 20.3% at the midpoint (vs. ~20.0% earlier), and the EPS guidance midpoint is \$8.20 vs. \$8.10 in earlier.

Outlook commentary: We have received a lot of questions on Honeywell's 4 - 6% organic growth numbers for the back half of 2026. We think this is conservative, and reflects some amount of contingency; while we're modelling in this range, we think it's quite likely that Honeywell beats it. BA has printed mid-single consistently and there's no structural reason for that to slow down. Management has displayed high confidence that PAT will grow. Short-cycle industrial inflection will support at least some part of IA which came in well above expectations as well. All of these point to organic growth pushing at the high end of management's guide (if not higher). The only other big question we get is on the bridge for IA to go from ~17% margins to 22% by 4Q. We think about half of that comes from the spin of PSS / WWS which have been dilutive while the other half comes from operating leverage / self-help. Some of this is at risk if IA growth slows, but we do not anticipate that to be the case.

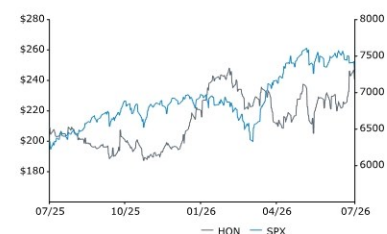
Investment Implications

We continue to rate Honeywell Market-Perform with a \$264 target price. Based on updates per guidance, we use an NTM + 1 EPS of \$11.24 (Earlier \$10.19) at a 20x (unchanged from earlier) forward PE multiple. We then add ~\$39 per share (unchanged from earlier) of value from their stake in QNT (assuming a QNT TP of \$94 per Bernstein coverage). We believe our choice of multiple is conservative.

Close Date	29 Jul 2026			
HON Close Price (USD)	241.12			
Price Target (USD)	264.00			
Upside/(Downside)	9%			
52-Week Range	260.15/195.77			
SPX	7,316.15			
FYE	Dec			
Div Yield	1.2%			
Market Cap (USD) (M)	76,421			
EV (USD) (M)	102,500			
Performance	YTD	1M	6M	12M
Absolute (%)	17.9	5.8	1.2	10.1
SPX (%)	6.9	(1.7)	5.0	14.8
Relative (%)	11.0	7.5	(3.8)	(4.7)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
HON (USD)	6.46	8.37	10.55	Revenues (M)	19,945	20,065	20,949	--	Adjusted P/E (x)	37.3	28.8	22.8
OLD	--	8.26	10.02									

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

First Published: 30 Jul 2026 06:07 UTC Completion Date: 30 Jul 2026 06:07 UTC

DETAILS

OVERVIEW

We were relatively skeptical on Honeywell's ability to deliver on the promise of growth and margins at Investor Day. After this print, we are much less skeptical. If the next few quarters are anything like 2Q26, we would expect the stock to see some re-rating. Remember, the P/E ratio you see is artificially inflated; you need to look at it ex-QNT which adds ~\$20 - 30 per share of value in which case the stock starts looking far more reasonable.

Top line organic growth was up 4% vs. expectations to be flat, and adjusted operating margin was largely in line with expectations at 19%. EPS of \$1.95 is ~7% ahead of consensus. Organic growth for all three segments came in better than expected (BA 9% vs. 6.5% consensus, PAT at -1% vs. -7.5% consensus, IA at 4% vs. 0.5% consensus). Segment operating margins also came in better than expected (~20 - 30 bps depending on the business unit). Guidance was marginally raised as well for the full year; organic growth is up to 3 - 4% (vs. 2 - 3% earlier), segment margins are up to 20.3% at the midpoint (vs. ~20.0% earlier), and the EPS guidance midpoint is \$8.20 vs. \$8.10 in earlier.

THOUGHTS ON THE BACK HALF (WITH CALLBACK COMMENTARY WOVEN IN)

We do think there is some level of conservatism in 2H26, especially on growth at 4 - 6%. While we have modelled this in line with guidance for now, we'd be looking for any signals from management on increased growth or accelerated margin expansion that could strengthen the story. There is certainly some contingency baked into that number from management, and short of a major escalation in the Middle East or a short-cycle collapse in industrials we think they are well poised on growth. Our segment level perspectives have been detailed below.

BA: This is the least cyclical and most stable pf Honeywell's business units. BA effectively start each year with a clean slate and drive orders and conversion from there, so it is dependent on sales performance in the Q. Generally, the team has done a great job and sustained HSD organic growth. We see no real tailwinds here that would cause growth to drop below HSD, it is largely just the uncertainty of needing to wait for orders to flow in that keeps guidance conservative. Margin expansion is also relatively straight line; we see it going from 27% today to ~29% in the next 2 - 3 years with sequential improvement.

IA: This is where we have been most impressed operationally. Honeywell is expected to reach 22% margins by 4Q26, and 25% as the mid-term target. While the market is extremely skeptical of this, management also seems to be extremely confident. We break the margin expansion into two pieces; near-term (teens to 22%) and mid-term (22% to 25%). In the near-term, we anticipate roughly half the expansion to come from the divestment of PSS and WWS which have been dilutive. The remaining half comes from a mix of "self-help" and operating leverage from growth. Short-cycle inflection (which affects a part of IA) also supports this outlook. In the mid-term, management said they expect to see the remaining margin expansion to be front-weighted (i.e., the journey from 22% to 25% happens more in FY27 than in FY28/FY29). While growth is guided LSD for the back half, we do think commercial excellence and positive short-cycle movement are all tailwinds, and MSD organic in 2H26 is not an unreasonable assumption.

PAT: In our call back (as with the earning call), management displayed a high degree of confidence in their ability to meet HSD organic growth in the back half of the year. Our understanding is that this is driven more by a recovery in catalyst volumes, while the strong LNG orders numbers provide a tailwind over the next two years. While we continue to think that oil capex is challenged, the positive inflection from gas and catalysts will likely more than offset any growth drag from refining. Margins are going to be less attractive for PAT in the near-term; there is expected to be a lot of projects in 2H26 which are dilutive, as well as the integration of Johnson Matthey which will also create near-term margin pressure. We are modelling weakness in the remainder of 2026, with an inflection in the back half of FY27/early FY28.

Forge: The one piece we thought we'd get more color on is Forge (Honeywell's digital / AI platform). The current target is 15% revenue growth on ~\$1B of annualized software revenues; we do think this seeks low given the high double digit (and in some case triply digit) YoY growth numbers in terms of connected assets we saw at their investor day. It seems like there is still some flux around the pricing strategy, but we think there's potential for this growth number to be higher long-term depending on how well Honeywell can execute. We'd love to see a bit more color in future prints.

EXHIBIT 1: **HON Cons. vs reported**

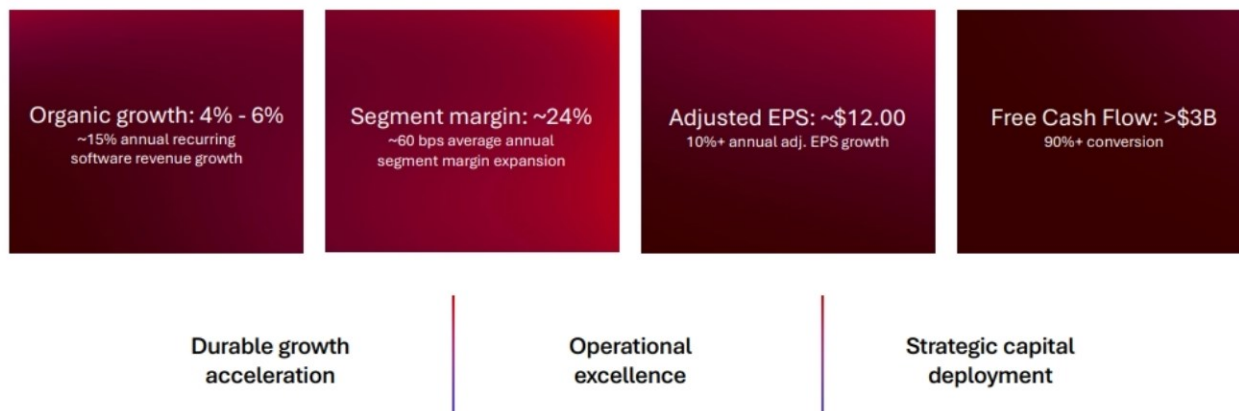
Group (\$m)	2Q'25 Reported	2Q'26 Reported	2Q'26 VA Cons.	YoY change	Beat / Miss vs VA Cons.	% Beat / Miss
Revenue Remain co.	5,018	5,187	4,978	+3.4%	BEAT	+4.2%
<i>Organic growth</i>		4.0%	0.2%	400 bps	BEAT	383 bps
Segment profit Remain co.	904	985	943	+9.0%	BEAT	+4.4%
Operating margin	18.0%	19.0%	18.9%	100 bps	BEAT	5 bps
Adj. EPS (\$) Remain co.	1.77	1.95	1.82	+10.2%	BEAT	+7.4%

Segments (\$m)	2Q'25 Reported	2Q'26 Reported	2Q'26 VA Cons.	YoY change	Beat / Miss vs VA Cons.	% Beat / Miss
Industrial Automation						
Revenue	1,577	1501	1,457	-5%	BEAT	+3.0%
<i>Organic growth</i>	0.0%	4.0%	0.5%	400 bps	BEAT	350 bps
Segment operating Income	257	258	247	0%	BEAT	+4.5%
Segment operating Margin	16.3%	17.2%	16.9%	90 bps	BEAT	25 bps
Building Automation						
Revenue	1,826	2002	1,954	10%	BEAT	+2.5%
<i>Organic growth</i>	8.0%	9.0%	6.5%	100 bps	BEAT	250 bps
Segment operating Income	479	542	524	13%	BEAT	+3.5%
Segment operating Margin	26.2%	27.1%	26.8%	87 bps	BEAT	29 bps
Process Automation						
Revenue	1,613	1679	1,549	4%	BEAT	+8.4%
<i>Organic growth</i>	6.0%	-1.0%	-7.5%	-700 bps	BEAT	650 bps
Segment operating Income	386	371	342	-4%	BEAT	+8.4%
Segment operating Margin	23.9%	22.1%	22.1%	-183 bps	BEAT	0 bps

Source: Visible Alpha, Company reports, Bernstein analysis

EXHIBIT 2: **HON three year financial targets**

2026 Investor Day | Three-year financial targets

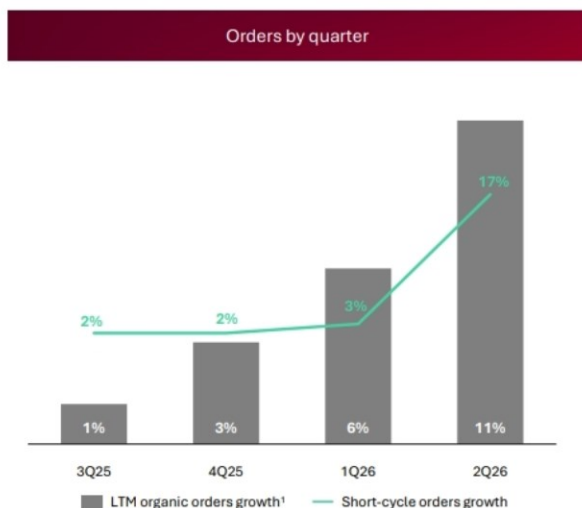


Clear roadmap for shareholder value creation

Source: Company presentation

EXHIBIT 3: **HON orders acceleration**

Honeywell Technologies | 2Q 2026 orders growth acceleration



¹Represents average of organic orders growth for the prior four quarters in each period.

2Q commentary

- Double-digit short-cycle orders growth in all segments, driving total orders up 16% organically
- PA&T orders up 24% organically driven by surging LNG and gas processing demand globally
- BA up 13% organically from resilient demand and share gains led by growth in Fire and focus growth verticals (data centers, healthcare and hospitality)
- IA orders up 10% organically, with double-digit growth in Europe, Middle East and China
- Orders grew over 50% organically in the Middle East, driven by large awards in Process Technology
- \$5.7B in orders with book-to-bill above 1.1x; continued backlog growth (+9%) supports 2H organic growth outlook of 4% to 6%

Broad-based, double-digit order growth across all segments



2Q 2026 Earnings – July 23, 2026

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Source: Company presentation

EXHIBIT 4: **HON revised guidance**

Honeywell Technologies | Revised 2026 Guidance

	Prior 2026 Guidance	2026 Guidance	3Q26 Guidance	4Q26 Guidance	Commentary
Sales¹					
Organic growth*	\$19.9B - \$20.2B 2% - 3%	\$19.8B - \$20.0B 3% - 4%	\$4.9B - \$5.0B 4% - 6%	\$5.0B - \$5.1B 4% - 6%	• Raising full-year organic growth, segment margin and adjusted EPS estimates
Segment Margin²					
Expansion	19.8% - 20.3% 220 - 270 bps ²	20.1% - 20.5% 250 - 290 bps ²	20.0% - 20.7% 240 - 310 bps ²	22.0% - 22.7% 400 - 470 bps ²	• BA strength continues across both products and solutions with double-digit growth across data centers, hospitality and healthcare • PA&T growth to inflect in 3Q as project activity and catalyst shipments accelerate, supported by robust backlog
Adjusted EPS³					
Growth	\$7.90 - \$8.30 22% - 28% ²	\$8.05 - \$8.35 25% - 29% ²	\$2.05 - \$2.20 21% - 29% ²	\$2.28 - \$2.43 25% - 33% ²	• Core IA growth accelerates through the second half led by products • Margin expansion led by IA and BA, with tailwinds from stranded costs elimination and divestitures
Free Cash Flow³					
	~\$2.0B	~\$2.0B			• Below the line tailwind year-over-year from lower net interest expense driven by accelerated debt paydown

¹Non-GAAP financial measure

²Total sales lower than prior guidance due to earlier than planned divestiture of Productivity Solutions and Services (PSS) and Warehouse and Workflow Solutions (WWS)

³Estimated Honeywell Technologies Segment Margin expansion and Adjusted EPS growth reflect impact of retained corporate assessment previously allocated to Aerospace in 2025 and through Q2 2026.

⁴With respect to the company outlook for 2026, free cash flow adjusts for capital expenditures and spin-off and separation-related cost payments.

Expect strong organic growth and margin expansion acceleration in 2H



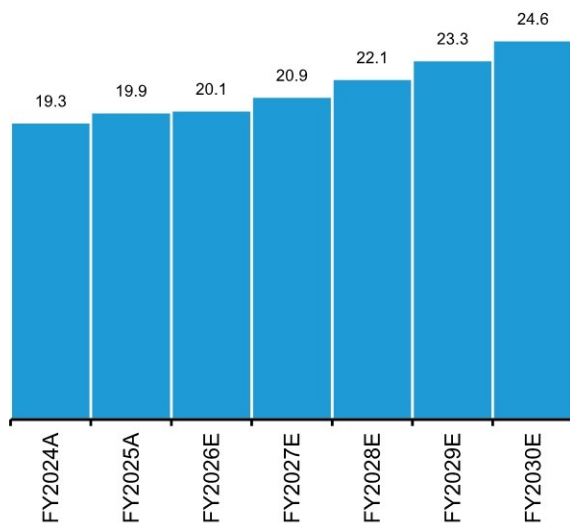
2Q 2026 Earnings – July 23, 2026

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Source: Company presentation

EXHIBIT 5: **HON Revenue**

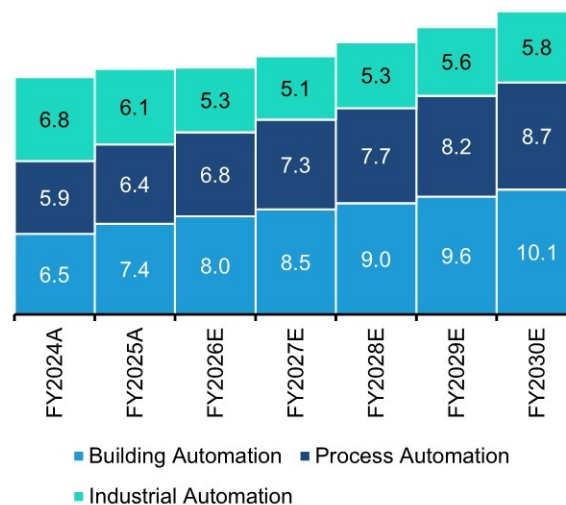
\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 6: **HON revenue per segment**

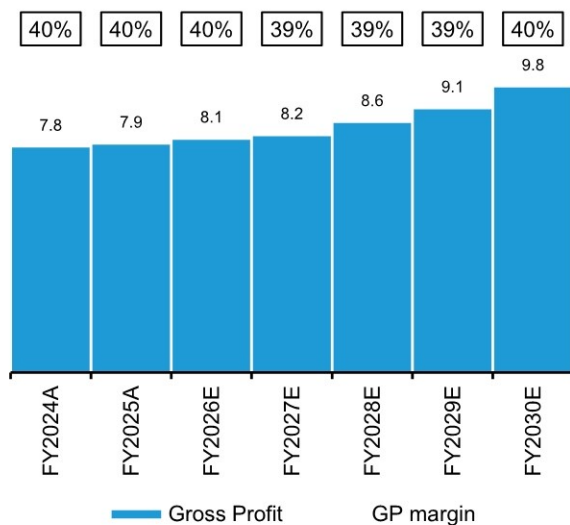
\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **HON Gross profit & GP margin**

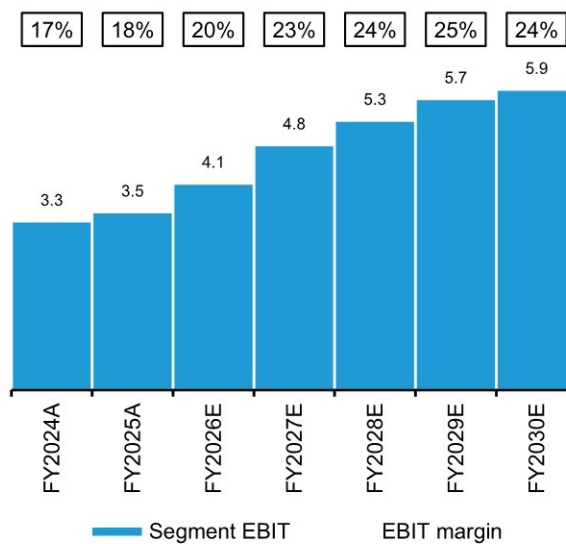
\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 8: **HON EBIT & EBIT margin %**

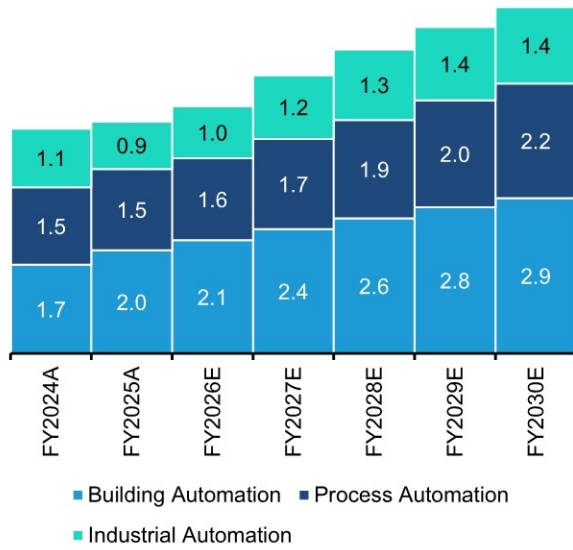
\$bn



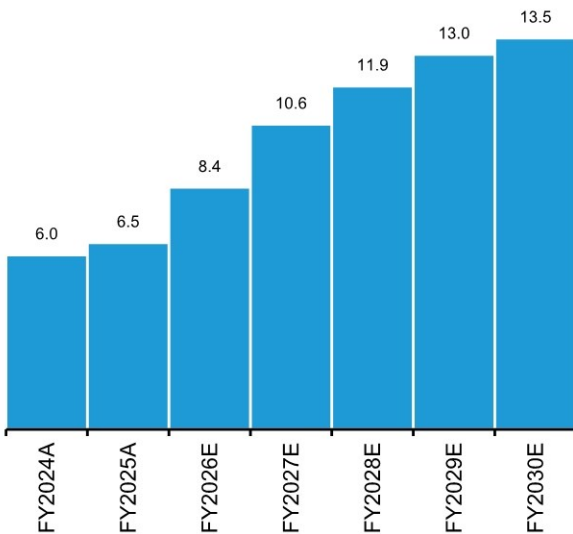
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 9: **HON EBIT per segment**

\$bn



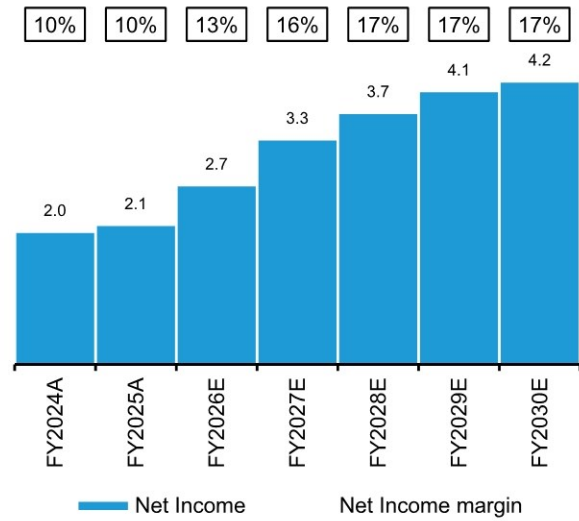
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **HON Adj. EPS (\$)**

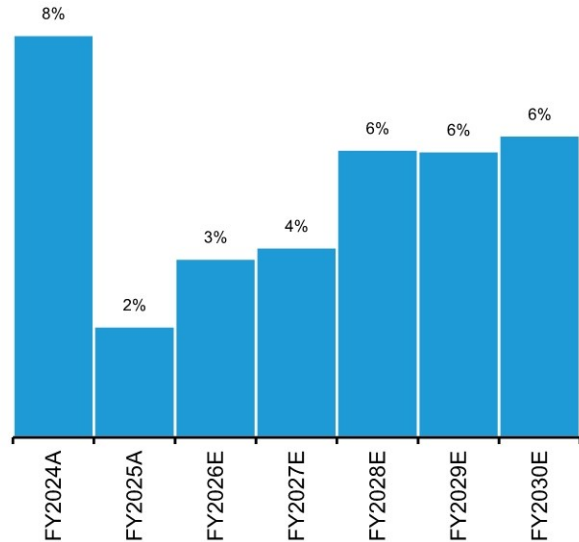
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 10: **HON Net Income & Net Income margin %**

\$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **HON ROIC%**

Source: Company reports, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: HON financial summary

Income Statement (M)	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
New Equipment	14,344	14,579	14,522	15,182	16,018	16,902	17,835
Services	4,937	5,366	5,543	5,767	6,085	6,421	6,775
Total revenue	19,281	19,945	20,065	20,949	22,103	23,323	24,611
Total Gross Profit	7,774	7,880	8,052	8,170	8,620	9,096	9,844
Underlying EBIT	2,678	2,474	2,439	3,610	4,759	4,978	5,576
Group EBIT margin	13.9%	12.4%	12.2%	17.2%	21.5%	21.3%	22.7%
Net Income to shareholders	1,302	1,368	6,721	2,470	3,406	3,563	3,950
Diluted underlying EPS (\$)	6.04	6.46	8.37	10.55	11.88	12.98	13.54
Diluted shares outstanding (m)	328	321	319	317	315	313	311
Balance Sheet (M)	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
PP&E	6,194	4,629	4,994	5,794	6,594	7,394	8,194
Other non-current assets	47,288	43,294	49,235	49,175	49,115	49,055	48,995
Other current assets	27,908	30,387	26,326	28,724	32,050	35,549	39,387
Cash and cash equivalents	10,953	12,930	14,601	16,517	19,392	22,416	25,819
Total assets	75,196	73,681	75,561	77,899	81,165	84,604	88,382
Current liabilities ex-debt	15,636	15,975	12,297	12,503	12,697	12,901	13,050
Total debt	31,099	34,580	33,988	33,988	33,988	33,988	33,988
Pension	112	111	106	106	106	106	106
Other non-current liabilities	9,188	7,985	8,959	8,959	8,959	8,959	8,959
Minorities	542	1,126	328	344	360	376	392
Total equity ex-minorities	18,619	13,904	19,884	21,999	25,055	28,274	31,887
Total equity and liabilities	75,196	73,681	75,561	77,899	81,165	84,604	88,382
Cash Flow Statement (M)	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Underlying EBIT	2,678	2,474	2,439	3,610	4,759	4,978	5,576
Deprecitation & Amortisation	1,288	1,493	1,243	1,460	1,460	1,460	1,460
Working capital	(375)	(791)	3,157	(275)	(257)	(272)	(286)
Net capex	(1,072)	(1,173)	(1,238)	(1,400)	(1,400)	(1,400)	(1,400)
Other cash movements	123	(83)	(3,932)	(1,480)	(1,686)	(1,743)	(1,947)
Change in cash and cash equivalents	2,642	1,920	1,669	1,915	2,875	3,024	3,403

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			29 Jul 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
HON (Honeywell)	M	USD	241.12	264.00	(4.7)%	USD	6.46	8.37	10.55	37.3	28.8	22.8
OLD				243.00				8.26	10.02			
SPX			7,316.15									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Quantinuum Inc.**

We value Quantinuum shares based on our estimate for 12-month forward Revenue in 1 year's time (\$157M), and apply an EV/Forward Sales multiple of 155x. We then add back the net cash, and divide by share count of 276M, arriving at price target of \$94.

Honeywell International Inc

We continue to rate Honeywell Market-Perform with a \$264 target price. Based on updates per guidance, we use an NTM + 1 EPS of \$11.24 at a 20x forward PE multiple. We then add ~\$39 per share of value from their stake in QNT (assuming a QNT TP of \$94 per Bernstein coverage).

RISKS**Quantinuum Inc.**

Downside risks to our price target for QNT include: 1) it could take longer for Quantinuum to execute and deliver the next generations of quantum computers (SOL and APOLLO); 2) the engineering / manufacturing problems are more intractable than expected; 3) a breakthrough occurs with one of the other quantum particle based modalities (e.g. topological, semiconductor, etc.); 4) a competitor is able to accelerate their roadmap and substantially beating Quantinuum to market and is able to take more of the market than expected; 5) the market size is smaller than the industry experts expect; or 6) it takes longer for Quantinuum to convert their pipeline of business to revenue.

Honeywell International Inc

Upside: (i) Continued growth in Building Automation, Positive uptake of Forge product reflecting in more recurring revenue, Margin expansion in IA business post WWS / PPS spin

Downside: (i) Power prices stay stable or decline as supply comes online (reducing impetus for building automation), (ii) Weakness / delays in LNG projects which market is not pricing, (iii) Organizational drag from spin-off of aerospace

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
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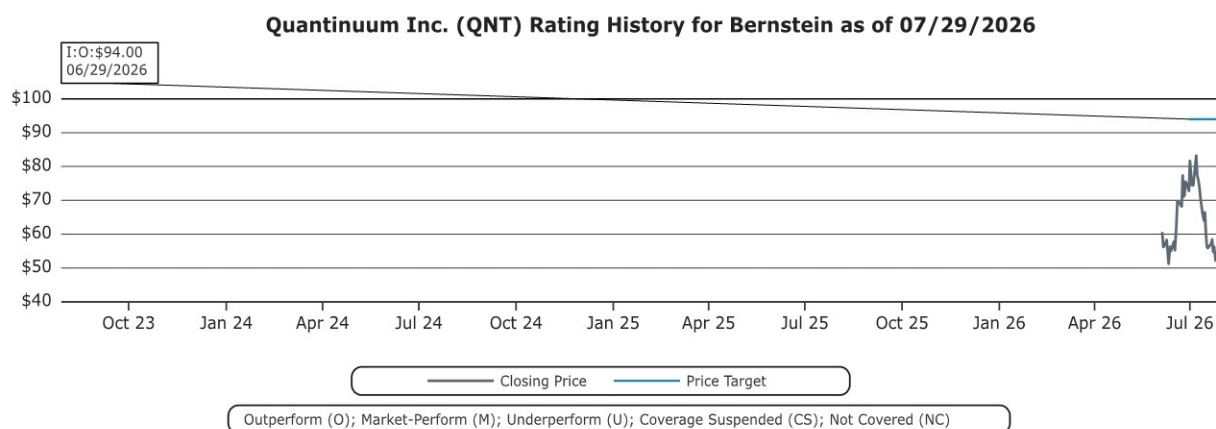
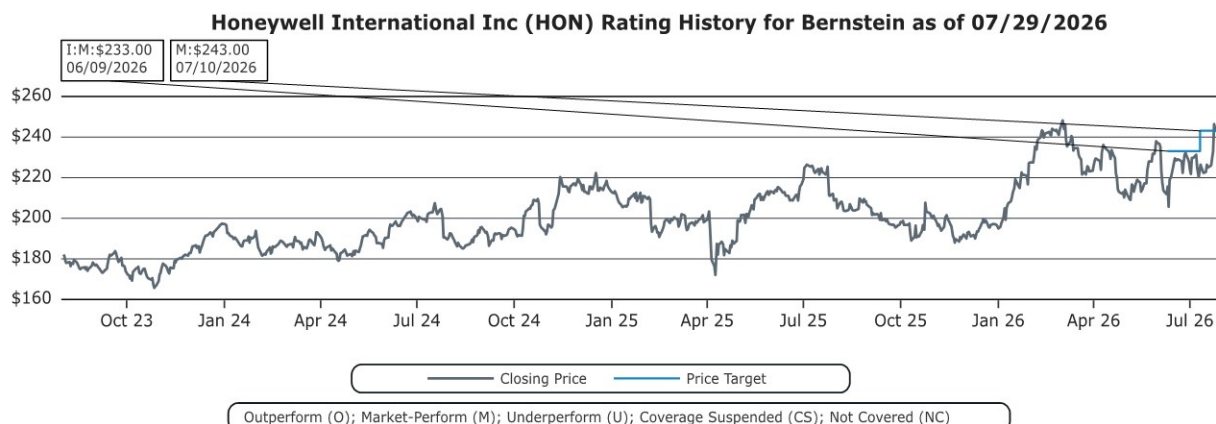
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